

VERDICT 6.0

Club Convergence — IBS Hyderabad

SELECTION ROUND SUBMISSION

Case Analysis & Supporting Evidence

Case: Kumar v. Apex Capital — "The Case of the Midnight Napkin"

Team Name: ankush17575

Role Assigned: Defence (on behalf of Rohan Malhotra / Apex Capital)

1. Case Analysis & Key Arguments

1.1 Statement of Defence's Position

The Defence's case is simple: this was not an ambush, it was an ending. Aarav Kumar raised the possibility of exiting VoltEdge weeks before the night in question. He negotiated the price upward from ₹550 crore to ₹700 crore in real time, refusing an offer he considered inadequate. He signed a document that plainly stated the price and the fact that definitive agreements would follow. And within a little over an hour of signing, in his own words and of his own initiative, he confirmed to his own assistant that the deal was done. None of this is the conduct of a man who did not know what he was doing. It is the conduct of a man who, the next morning, regretted a decision he understood perfectly well when he made it.

1.2 The Legal Standard the Prosecution Must Meet

Section 12 of the Indian Contract Act, 1872 sets a demanding test: a person is of sound mind for the purpose of a contract if, at the time of making it, he is capable of understanding it and of forming a rational judgment as to its effect on his interests. The illustrations to the section make clear that mere drunkenness is not enough – the person must be so intoxicated that he cannot understand the terms of the contract or form a rational judgment about it. This is a high threshold, and it is the Prosecution's burden to prove it, not the Defence's burden to disprove it. Comparative common-law authority reinforces the same principle: courts have repeatedly held that an intoxicated signatory's contract is voidable only where he was, at the relevant moment, entirely without understanding – and that where the signatory was transacting other complex business or communicating coherently around the same time, that threshold is not met.

1.3 Argument One — The Exit Was Kumar's Idea, Not Malhotra's Trap

Kumar's own prior writing shows he was contemplating a sale before that night. A man who has already decided, in a sober moment, that he wants out of a business is not a man who can later claim the eventual sale came out of nowhere. The night at the club was the execution of an idea Kumar originated, not its invention by Malhotra.

1.4 Argument Two — Active Bargaining Is Evidence of Understanding, Not Impairment

The timeline itself is the Defence's strongest documentary asset. Kumar rejected ₹550 crore at 9:45 PM while sober. He held out through a second offer. He only agreed once the price reached ₹700 crore. Rejecting an inadequate offer and negotiating a better one requires exactly the faculties Section 12 asks about: understanding the terms and forming a rational judgment about one's own interests. The Prosecution's own timeline places the onset of visible intoxication at 11:00 PM – after the substantive negotiation was already concluded and the price already agreed in principle.

1.5 Argument Three — The 12:18 AM Message Is Decisive

About an hour and eighteen minutes after signing (11:00 PM to 12:18 AM), with no prompting from Malhotra, Kumar independently told his own assistant that he and Malhotra had agreed on the ₹700 crore exit and that paperwork would follow. This is not the message of a man who has just been tricked into signing something he did not

understand. It is a contemporaneous, self-generated confirmation of the material terms – the price and the fact that formal documentation was still to come. A person entirely without understanding of what he signed could not accurately restate its substance to a third party later that same night. This message should be treated as the single most reliable piece of evidence in the case, because it was made before any dispute existed and before Kumar had any motive to shade the truth in either direction.

1.6 Argument Four — The Bartender's Testimony Supports the Defence, Read Correctly

The bartender's account – that Kumar was heavily intoxicated but conscious and capable of ordering his own drinks – is frequently misread as supporting the Prosecution. It does the opposite. Section 12 does not protect a merely impaired person; it protects a person who could not understand the transaction at all. Consciousness, coherent ordering behaviour, and the capacity for continued social interaction are inconsistent with the total incapacity the Prosecution must show.

1.7 Argument Five — Kumar's Own Camp Regarded the Price as Fair

Kumar's assistant, in her own contemporaneous message, described the ₹700 crore offer as a good exit deal. This is significant because the assistant is Kumar's witness, called to establish that she doubted his judgment while drinking – yet her own words, sent independently, corroborate that the price itself was fair. A deal cannot simultaneously be exploitative on its face and independently praised as favourable by someone on the seller's side who had no reason to flatter Malhotra.

1.8 Argument Six — Financial Pressure Explains Motive, Not Incapacity

Kumar's mounting financial pressure – personal guarantees, a looming covenant breach, an uncertain client renewal – explains why he wanted liquidity. It does not establish that Malhotra caused, engineered, or exploited that pressure, and the case record itself contains no evidence that this pressure affected Kumar's decision-making capacity on the night of signing. Motive to sell is not the same thing as incapacity to consent, and the Prosecution cannot be permitted to blur the two.

1.9 Argument Seven — Neutralising the Gap and the Missing Page

The fifteen-minute gap in the recording and the disputed second page are invitations to speculate, not evidence of wrongdoing. The absence of proof of a fact is not proof of the absence of that fact. The burden remains on the Prosecution to show affirmatively what happened in that gap and what the second page contained; the Defence's position is that a forensic and documentary explanation exists for both (Sections 4 and 5 below), and that neither gap, without more, can carry the weight of a claim as serious as exploitation of an impaired person.

1.10 Anticipated Prosecution Attacks and Pre-emptive Responses

- Malhotra knew of Kumar's drinking history — Response: knowledge of a business partner's habits is not the same as engineering an intoxicated signature; Malhotra can show the venue and timing were driven by Kumar's own availability, not a deliberate plan to intoxicate him.

- Malhotra chose the venue and the night — Response: two years of pursuit means scheduling was opportunistic, not predatory; the associate's testimony situates the choice as ordinary deal-making practice.
- The alleged remark calling the drinking "his opportunity" — Response: this is recalled by a single witness under pressure, is disputed, and is inherently unreliable as a characterisation of intent after the fact; it should be given minimal evidentiary weight absent corroboration.
- The missing second page — Response: only an image is claimed to survive; the Defence should press for authentication of that image and highlight that the signed note itself is complete on its face and makes no reference to unresolved terms beyond the price and the need for definitive agreements.

2. Witness List

The following witnesses are proposed by the Defence, together with their relevance to rebutting the Prosecution's claim of incapacity and exploitation.

Witness	Role / Description	Relevance to Defence
Rohan Malhotra	Defendant; Founder, Apex Capital	Establishes the two-year courtship of VoltEdge, the genuine commercial rationale for the deal, and his account that Kumar negotiated normally and initiated the exit.
Malhotra's Associate	Present throughout the evening	Corroborates that negotiation proceeded normally; can address the disputed remark about Kumar's drinking directly and place it in context.
The Bartender	Independent third party at the club	Neutral, disinterested witness who confirms Kumar was conscious, ordering his own drinks, and capable of self-directed behaviour throughout the evening.
Kumar's Assistant	Recipient of the 12:18 AM message	Confirms receipt of Kumar's own contemporaneous, unprompted confirmation of the deal, and her own message calling the offer a good exit deal.
Independent Valuation Expert (Defence-appointed)	Forensic/financial expert	Testifies that Rs. 700 crore was a fair and defensible price for a 51% stake at the time, addressing the disputed valuation head-on rather than avoiding it.
Forensic Audio Expert (Defence-appointed)	Technical expert	Offers a non-sinister technical explanation for the fifteen-minute recording gap (e.g. device auto-pause, storage limits, ambient noise threshold), reducing its inferential weight.
Document Examiner (Defence-appointed)	Forensic document expert	Assesses the authenticity and completeness of the signed note and addresses the evidentiary weakness of a disputed second page that survives only as an image.

3. Witness Statements / Depositions (Sample)

The following are illustrative deposition summaries prepared for the Defence's use in examination and cross-examination. They are drafted consistently with the established facts of the case file and may be adapted or expanded by the team.

3.1 Deposition of Rohan Malhotra (Defendant)

"I had pursued VoltEdge for two years before that night. Aarav raised the idea of an exit himself, weeks earlier – I did not put the thought in his head. On the night in question, I made an opening offer of ₹550 crore, which he refused outright. I raised it to ₹700 crore, and he told me he'd think about it. We kept talking. When he agreed, he read the note before signing it and asked me a question about the definitive-agreements language before putting his signature to it. I had no reason to think he did not understand what he was doing – he had just spent over two hours proving that he did, by negotiating hard and pushing the price up by ₹150 crore."

3.2 Deposition of the Bartender

"I served Mr. Kumar through the evening. He was drinking heavily and was clearly intoxicated by the later hours, but he was conscious the entire time, ordering his own drinks by name, and speaking coherently with his party. I did not see him stumble, lose consciousness, or need help. I have served many intoxicated guests, and I would not describe his condition that night as unusual for the club."

3.3 Deposition of Malhotra's Associate

"I sat at the table for most of the evening. The negotiation was ordinary – Mr. Kumar pushed back on the first number, and Rohan raised it. I do not recall Rohan describing Mr. Kumar's drinking as an 'opportunity'; if such a remark was made, it was not in my hearing, and I would caution against treating an uncorroborated recollection of a single stray comment as proof of a scheme two years in the planning."

3.4 Deposition of the Independent Valuation Expert

"Based on VoltEdge's disclosed financials, its 58% category market share, and comparable transactions in the sector, a controlling 51% stake valued at approximately ₹700 crore sits within a defensible range, particularly given the customary discount buyers apply for a going-private, control-transfer transaction. I do not consider this price to be so far outside a reasonable range as to itself suggest overreaching."

3.5 Deposition of the Document Examiner

"I examined the signed note. It is complete on its face: it states the subject matter, the price, and the condition that definitive agreements would follow. The alleged second page exists, if at all, only as an image, with no chain of custody establishing when or how it was created or what became of any original. In the absence of the physical page itself, I cannot verify its authenticity, and I would caution the tribunal against treating an unverified image as equivalent to the executed document."

4. Documentary Evidence

- The Signed Note (Primary Exhibit): "I agree to sell my controlling interest in VoltEdge Industries to Apex Capital for ₹700 crore, subject to execution of definitive agreements." Complete on its face; contains price and an express condition subsequent, indicating Kumar understood the transaction was not yet final.
- The 12:18 AM WhatsApp Message: Kumar's own words to his assistant confirming the ₹700 crore exit and that paperwork would follow the next day – the single strongest piece of evidence that he understood what he had signed.
- Kumar's Prior Writing Expressing Willingness to Sell: Establishes that the exit was Kumar's own idea, predating the night in question, undermining any claim that the transaction was sprung on him.
- The Assistant's Message Calling the Offer "a Good Exit Offer": Independent corroboration, from Kumar's own side, that the price was commercially reasonable.
- Independent Valuation Report: Supports ₹700 crore as a defensible price for a 51% controlling stake, countering the Prosecution's disputed valuation.

5. Audio/Video Evidence

- The Club Audio Recording: Covers the evening except for a fifteen-minute gap immediately preceding the signature. The Defence's position is that a gap is not affirmative evidence of coercion or incapacity; a forensic audio expert should be called to offer a technical, non-sinister explanation (device auto-pause, storage cutoff, or ambient-noise threshold triggering).
- Any Available CCTV Footage: If club CCTV exists covering the table or entrance, the Defence should seek its production to show Kumar's physical demeanour (walking, sitting upright, engaging with staff) consistent with consciousness and self-direction rather than total incapacitation.

6. Supporting Research & Legal Precedent

6.1 Statutory Framework

Section 11 of the Indian Contract Act, 1872 requires that a party be of the age of majority, of sound mind, and not otherwise disqualified by law. Section 12 defines sound mind for contracting purposes as the capacity, at the time of contracting, to understand the transaction and form a rational judgment about its effect on one's own interests. Its illustrations extend this test to intoxication: a person so drunk that he cannot understand the contract's terms or form a rational judgment cannot contract while that state lasts – but the threshold is total incapacity, not mere impairment.

6.2 The High Threshold and the Burden of Proof

Comparative common-law reasoning (persuasive, not binding, but useful to frame the standard) holds that a contract signed while intoxicated is voidable only where the signatory was, at that moment, entirely without understanding of the transaction – a very high bar. Courts applying this standard have looked to surrounding conduct: a party who was simultaneously handling other complex matters, or who confirmed and acted consistently with the transaction afterward, has been found not to meet the threshold, and subsequent affirming conduct has been treated as ratification. Kumar's negotiation of the price upward and his independent, accurate confirmation message later that night are precisely this kind of conduct.

6.3 Burden Allocation

The party seeking to avoid a contract on grounds of incapacity carries the burden of proving it. The Defence should press throughout that ambiguous or missing evidence (the recording gap, the disputed second page) cannot discharge that burden for the Prosecution; at most it creates uncertainty, and uncertainty favours upholding a contract that was negotiated at length and confirmed by the party's own subsequent words.

7. Conclusion and Prayer

The Defence respectfully submits that the agreement between Aarav Kumar and Apex Capital should be enforced. Kumar initiated the idea of an exit, negotiated the price upward while demonstrably sober, signed a note that was complete and unambiguous as to price and the need for further documentation, and then, later that same night and without prompting, confirmed the deal's essential terms to his own assistant. The Prosecution's case rests on inference from gaps – a missing quarter-hour of audio, a disputed unproduced page – rather than on affirmative proof that Kumar was, at the moment of signing, entirely incapable of understanding what he was doing. On the facts and the applicable standard under Section 12 of the Indian Contract Act, 1872, that proof is absent, and the agreement should stand.